

in cases in which privacy protection in business entities is recognized, such right to privacy is not found in the constitution but “is a lesser right than that held by human beings and is not considered a fundamental right.” [Citation.] (*Ibid.*) “The discovery’s relevance to the subject matter of the pending dispute and whether the discovery appears reasonably calculated to lead to the discovery of admissible evidence is balance against the corporate right of privacy.” (*Ibid.*, internal quotation omitted.) “Doubts about relevance generally are resolved in favor of permitting discovery.” (*Ibid.*)

Here, as set forth above, relevancy of the subpoenaed information has been met. Despite the privacy rights involved, the relevance of such information balances in favor of disclosure. Any purported intrusion into corporate confidential information can be assuaged by redactions accompanied by a redaction log identifying the undisclosed portions with particularity and providing sufficient factual information for the requesting party (and the court) to evaluate the merits of the objection based on privacy rights.

The motion is denied.

3.

CASE #	CASE NAME	HEARING NAME
CVPS2302950	REAL ADVANTAGE TITLE INSURANCE COMPANY VS BARKER	MOTION TO COMPEL ANSWERS AT DEPOSITION AND PRODUCTION OF DOCUMENTS

Tentative Ruling:

Moving party: Defendant, Janice Barker, Special Administer of the Estate of Michale Barker, Deceased (“Defendant”)
Responding party: Plaintiffs, Real Advantage Title Insurance Company; Orange Coast Title Company of Southern California (“Plaintiffs”)

This is an action to enforce an indemnity agreement to recover damages which Plaintiffs allege to have suffered as a result of their settlement with a third party in a separate underlying action. In short, Plaintiffs were the escrow agent and title insurer in the closing transaction for a construction loan which Defendant Michael Barker (now deceased) obtained from the lender known as Bobs LLC (“Bobs”). Bobs conditioned the closing of the loan to the issuance of a policy of title insurance specifically underwritten to cover for any losses sustained by Bobs as a result of any mechanics’ lien claimed against the real property which was security for Barker’s loan obligation to Bobs under its deed of trust intended to be in first-lien priority. As part of the closing transaction, Defendant Barker (both in his individual capacity and representative of Sunniva Production Campus LLC), by an indemnity agreement dated March 5, 2018, agreed to indemnify, and hold harmless, RATIC against all losses, damages, and liabilities resulting from “any construction/mechanics’ lien or liens or claims to such lien or liens that RATIC may sustain or incur in any other action at law or equity under any theory of recovery as a result of the existence of a claim of right to a construction/mechanics’ lien or liens affecting the property.” (See Complaint, Ex. A.) Subsequently, by an indemnity agreement dated June 18, 2019, Defendant agreed to the same indemnity clause as to

both RATIC and Orange Coast Title Company.) The June 2019 Indemnity Agreement also provided that the agreement was to “inure to the benefit of and bind the personal representative, successors, and assigns of the parties hereto.” (Complaint, Ex. C.)

Barker ultimately defaulted on his loan obligations, and Bobs foreclosed on its deed of trust. As a result of nonpayment, various contractors recorded mechanics liens against the secured property and sought to judicially foreclose the liens against the property in Bobs’ ownership. Bobs submitted a claim under its title policy, but was denied coverage. Bobs sued RATIC and OCTCSC for breach of contract and negligence, among other causes of action (CVPS2101103, “Bobs lawsuit”). RATIC and OCTCSC settled with Bobs for \$10.5 million.

By way of this action, Plaintiffs are now seeking to be indemnified for their liabilities under the settlement and to recover their defense cost in the Bobs lawsuit. The case is now scheduled for a phase 1 jury trial on October 2, 2026.

Defendant now moves to compel Rich Macaluso (who is claimed to be one of the former and current owner/manager of Plaintiffs) to answer deposition questions at a subsequent deposition and for Macaluso to produce documents described in the deposition notices served upon him as well as upon Plaintiffs’ Personal Most Qualified on June 26, 2026 and June 29, 2026. Defendant asserts that these matters are relevant to the issue of damages and the basis for indemnification.

The motion is accompanied by the supporting declaration of Defendant’s counsel, Randall Manvitz (“Manvitz Decl.”) who indicates that Defendant took the deposition of Rich Macaluso on July 22, and 23, 2026 as a percipient witness and as the PMQ witness for Plaintiffs. (Manvitz Decl., ¶ 12, Ex. 5 [depo transcript].) Defendant’s counsel indicates that Mr. Macaluso refused to testify concerning a Securities Purchase Agreement (“SPA”), which has been the topic of the parties’ previous discovery disputes. In a prior deposition of Plaintiffs’ owner/manager Mike Marconi on May 19, 2026, Defendant learned that Mike Marconi, along with John Marconi, and Rich Macaluso (collectively “Decision Makers”) transferred shares in OCTSC’s parent company to Acrisure pursuant to the SPA. (Id. at ¶ 7, Ex. 1 [Mike Marconi Depo. Transcript].) Defendant sought to depose Macaluso regarding the SPA’s provision which purportedly imposed obligations on the Decision Makers to personally fund Plaintiffs’ defense and settlement in the Bobs litigation above a stated liability threshold. Macaluso refused to answer, asserting that the information is irrelevant, personal, and confidential. (Id. at ¶ 12, Ex. 5 [Macaluso Depo. Transcript].) Defendant’s counsel also indicates that Macaluso and Plaintiffs failed to produce any accounting records or payment records concerning Plaintiffs’ defense costs in the Bobs litigation which they are seeking to recover from Barker under the indemnity agreement. Defendant seeks sanctions in the amount of \$39,725, representing reasonable attorney’s fees incurred in connection with the discovery at issue.

In opposition, Plaintiffs argue that they are not in possession of the SPA. Plaintiffs also argue that Macaluso properly objected to the deposition question regarding the SPA on the ground of privacy protection. Plaintiffs also argue that the production of SPA is subject to a balancing testing and that the privacy rights of the

personal financial benefits that Macaluso and others received from the sale documented in the SPA (the sale price, the amounts received, the rights to future compensation, limitations on competition, and other future rights) are the most protected rights whereas Defendant has not demonstrated the need for the document. Plaintiffs also argue that the Defendant fails to show any connection of relevance of the terms of the SPA to this litigation. They argue that terms of the SPA at issue – that, if the companies acquired by Acrisure had to pay more than \$6 million for the entire “bucket” of approximately 20 pending lawsuits, then the material shareholders would have liability to Acrisure for the additional expenses- is not relevant to this litigation because any liability that might have arisen would not have been related to the allocation of damages in the Bobs litigation but related to an array of cases. They also argue that the SPA is unnecessary to Defendant’s claim that the SPA’s imposition of obligation onto the Decision Makers would show their secret motivation to foist the costs off on RATIC. Plaintiffs argue that what matters in determining Plaintiffs’ damages in this action is not what they actually paid, but what they are liable for. As to the payment records pertaining to the defense costs incurred in the Bobs lawsuit, Plaintiffs argue that they have, on August 10, 2026, served verified responses to Defendant’s fourth set of Request for Production of Document and already agreed to produce the documents requested before Defendant’s filing of this motion. (See Declaration of Lee K. Fink iso Opposition, ¶ 17.) Plaintiffs otherwise contend that the requests for payment records, as framed by Defendant, are overbroad.

Analysis

I. Legal standard.

“If a deponent fails to answer any question or to produce any documents, electronically stored information, or tangible thing under the deponent’s control that is specified in the deposition notice..., the party seeking discovery may move the court for an order compelling that answer or production.” (Code Civ. Proc., § 2025.480(a).) “[T]he party seeking that answer or production may [1] adjourn the deposition or [2] complete the examination on the matter without waving the right at a later time to move for an order compelling that answer or production under Section 2025.480.” (Code Civ. Proc., §2025.460(e).) The motion to compel must be made no later than 60 days after the completion of the record of the deposition and must be accompanied by a declaration stating facts showing “a reasonable and good faith attempt at an informal resolution of each issue presented by the motion.” (Code Civ. Proc., §§ 2016.040, 2025.480(b).) If the court determines that the answer or production sought is subject to discovery, it must order that the answer be given or the production be made on the resumption of the deposition. (Code Civ. Proc., §2025.480, subd. (i).)

II. Defendant satisfied the obligation to meet and confer in good faith prior to filing the motion.

The motion to compel must be accompanied by a declaration stating facts showing “a reasonable and good faith attempt at an informal resolution of each issue presented by the motion.” (Code Civ. Proc., §§ 2016.040, 2025.480(b).)

Here, as demonstrated by the declaration of Defendant's counsel, Defendant made multiple attempts to follow up on the status of Plaintiffs' production of the at-issue documents through exchanging multiple emails to Plaintiff's counsel prior to filing the instant motion, to which no proper response was provided that resolved the discovery disputes. (See Manvitz Decl. in support of motion, ¶¶ 19-32.) On that basis, Defendant has satisfied its obligation to meet and confer in good faith.

III. The motion is granted to the extent the deponent failed to answer questions regarding the provision of the SPA imposing obligation on the Decision Makers relating to lawsuits.

The Court grants the motion to compel Macaluso to testify as to the questions at issue at the resumption of deposition. Defendant seeks to further depose Macaluso regarding the provision of the SPA which obligates the Decision Makers to be exposed to personal liability to pay damages and costs of pending litigations identified during the due diligence for the 2022 sale of the related companies to Acrisure, which would include Bobs litigation pending at that time.

"A party is entitled to take the testimony of his opponent before trial for the purpose of discovery." (*Meyer v. Cooper* (1965) 233 Cal.App.2d 750, 753.) The deposition questions may relate to "any matter, not privileged, that is relevant to the subject matter ... if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence." (Code Civ. Proc., § 2017.010, emphasis added; See *Kalaba v. Gray* (2002) 95 Cal.App.4th 1416, 1423 1015 ["deposition questions are intended to elicit information reasonably calculated to lead to discovery of admissible evidence"].)

Contrary to Plaintiffs' contention, the information sought by Defendant is relevant to the reasonableness of Plaintiffs' allocation of liability on the Bobs settlement. In a contractual indemnity action, "the indemnitee must show that liability is covered by the contract, that liability existed, and the extent thereof. A settlement [in the prior underlying action] is presumptive evidence of [indemnitor's] liability and the amount, but [this evidence] may be overcome by the indemnitor's proof that the settlement was unreasonable." (*Peter Culley & Associates v. Superior Court* (1992) 10 Cal.App.4th 1484, 1497; Civ. Code, § 2778(5).) Also, as the court held in *Peter Culley, supra*, there is "no justification for giving presumptive effect to an allocation [of liability under the settlement] that is not the product of adverse negotiation," and "[p]laintiff [in an action to enforce indemnity contract] should be required to prove the reasonableness of its proposed allocation by ordinary means." (*Id.* at 1498.) Here, Defendant is seeking to show that damages he is liable under the indemnification agreements should extend only as far as RATIC's liability to Bobs because OCTSC was not covered under the indemnity agreement. Defendant shows that past deposition testimony revealed that the Decision Makers were personally obligation under the SPA to fund RATIC's and OCTSC's defense and settlement with Bobs that exceeded the \$6 million threshold. Hence in order to seek reimbursement from payment sources only available through RATIC, the possessor of indemnification rights, the Decision Makers were motivated to allocate all financial responsibility related to the Bobs lawsuit to RATIC. Based on this fact-specific showing of relevance, the motion is granted to compel Macaluso to testify

as to the matters regarding the terms of the SPA regarding this matter at the resumption of deposition.

IV. Plaintiffs and Macaluso are ordered to produce documents.

A motion to compel production of documents described in a deposition notice must be accompanied by a showing of “good cause” through a declaration containing specific facts justifying inspection of the documents described in the notice. (Code Civ. Proc., § 2025.450(b)(1).) Good cause for discovery is found where specific facts show the documents are necessary for effective trial preparation. (*Associated Brewers Dist. Co., Inc. v. Superior court* (1967) 65 Cal.2d 583, 587.) Here, the motion is granted as good cause is shown (on June 26, 2026, the Court ruled in a previous motion that good cause as to the request for production of SPA and other related categories of documents must be independently shown.)

Here, Defendant is seeking the production of the SPA. As set forth above, fact-specific showing of relevance has been made by Defendant as to the SPA’s provision imposing the obligations upon the Decision Makers to pay for the defense cost and settlement in the Bobs lawsuit. Plaintiffs object on the grounds of privacy rights of third parties, including Acrisure who was the purchaser under the SPA, asserting that the SPA contains confidential financial information of the parties involved. As Defendant contends, **the objection is overruled.**

A corporate defendant’s right to object to discovery based on right of privacy is limited. It is true, as Plaintiffs contend, “[p]ersonal financial information comes within the zone of privacy protected by article I, section 1 of the California Constitution. [Citation.]” (*Harris v. Superior Court* (1992) 3 Cal.App.4th 661, 664.) However, the extent of privacy rights over business entities is unsettled. (*SCC Acquisitions, Inc. v. Superior Court* (2015) 243 Cal.App.4th 741, 755.) “Some opinions hold that the California Constitution protects only the privacy rights of human beings, other opinions hold that business entities have zones of privacy rights, and others assume without deciding that corporations enjoy a constitutional right of privacy.” [Citation.] (*Ibid.*) Even in cases in which privacy protection in business entities is recognized, such right to privacy is not found in the constitution but “is a lesser right than that held by human beings and is not considered a fundamental right.” [Citation.] (*Ibid.*) As such, as Plaintiffs point out, the question of whether a request for document infringes on important privacy rights is resolved by a balancing test: “The discovery’s relevance to the subject matter of the pending dispute and whether the discovery appears reasonably calculated to lead to the discovery of admissible evidence is balance against the corporate right of privacy.” (*Ibid.*, internal quotation omitted.) “Doubts about relevance generally are resolved in favor of permitting discovery.” (*Ibid.*)

Here, as set forth in detail above, relevancy has been met as to the extent the SPA contains provisions imposing financial responsibility to the Decision Makers for liability arising out of litigation which exceed a threshold of \$6 million, which goes to the issue of the reasonableness of allocation of all financial responsible to RATIC for the defense cost and settlement in the Bobs lawsuit. Here, despite the privacy rights involved, the relevance of such information weighs in favor of disclosure. Any purported

intrusion into personal sensitive or confidential information can be assuaged by redactions accompanied by a redaction log identifying the undisclosed portions with particularity and providing sufficient factual information for the requesting party (and the court) to evaluate the merits of the objection based on privacy rights. But, if the document is not in Plaintiffs' possession, as they claim, the deponent should testify as such at the resumption of deposition.

Defendant is also seeking production of documents related to payment records pertaining to Plaintiffs' defense costs paid in connection with the Bobs lawsuit for which they are seeking to recover from Defendant under the indemnification agreement. Here, Defendant has demonstrated good cause to compel production as the relevance of these records are not in dispute. "An indemnity against claims, or demands or liability ... embraces the costs of defense against such claims, demands, or liability incurred in good faith, and in the exercise of a reasonable discretion." (Civ. Code, § 2778(3).) Here, although Plaintiffs have agreed to produce the payment records, they have not demonstrated that the documents have yet been produced. As such, **the motion is granted to compel Plaintiffs and Mr. Macaluso to produce the relevant payment records.**

V. Sanctions are granted but in a reduced amount.

The court "shall" impose a monetary sanction against the losing party unless it finds the losing party "acted with substantial justification" or other circumstances make imposition of the sanction "unjust." (Code Civ. Proc., §§2025.450(g)(1), 2025.480(j).) Here, the motion was necessary to resolve discovery issues between the parties because the deponent failed to answer questions at deposition and Plaintiffs failed to produce documents described in the deposition notices. Defendant **seeks sanctions in the amount of \$39,725**, reflecting 46 hours of attorney fees at the attorney hourly rates of \$800 and \$1,025, and 6 hours of fees at the staff hourly rate of \$375. The request for sanction is supported by the declaration of Defendant's counsel Randall Manvitz, who claims that the requested sanctions include 21 hours for traveling and taking deposition, 14 hours preparing the motion, 2 hours meeting and conferring, and 6 hours anticipated for preparing the reply and appearing for hearing. Counsel also states that his supervising attorney spent 3 hours supervising his work. (Manvitz Decl., 33-36.) Counsel also claims that his staff spent 6 hours reviewing the deposition transcript and preparing the exhibits. (Id. at ¶ 35.)

Here, however, the requested sanction will be substantially lowered to reflect 5 hours of reasonable fees incurred in preparing the motion at an hourly rate of \$550. As such, sanctions are reduced to \$2,750 payable within 30 days of this order.